

House File 1028

H-1275

1 Amend House File 1028 as follows:

2 1. Page 1, before line 1 by inserting:

3 <Section 1. Section 2.42, Code 2025, is amended by adding
4 the following new subsection:

5 NEW SUBSECTION. 17. To review and disapprove
6 interdepartmental transfers described in section 8.39,
7 subsection 4, paragraph "c", as the council may determine.

8 Sec. _____. Section 8.39, subsections 2 and 4, Code 2025, are
9 amended to read as follows:

10 2. If the appropriation of a department, institution,
11 or agency is insufficient to properly meet the legitimate
12 expenses of the department, institution, or agency, the
13 director of the department of management, with the approval
14 of the governor, may make an interdepartmental transfer from
15 any other department, institution, or agency of the state
16 having an appropriation in excess of its needs, of sufficient
17 ~~funds~~ moneys to meet that deficiency. Such transfer shall
18 be to an appropriation made from the same funding source and
19 within the same fiscal year. The amount of a transfer made
20 from an appropriation under this subsection shall be limited
21 to not more than one-tenth of one percent of the total of all
22 appropriations made from the funding source of the transferred
23 appropriation for the fiscal year in which the transfer is
24 made. An interdepartmental transfer to an appropriation which
25 is not an entitlement appropriation is not authorized when
26 the general assembly is in regular session and, in addition,
27 the sum of interdepartmental transfers in a fiscal year to an
28 appropriation which is not an entitlement appropriation shall
29 not exceed fifty percent of the amount of the appropriation
30 as enacted by the general assembly. For the purposes of this
31 subsection, ~~an entitlement appropriation is:~~

32 a. "Appropriation in excess of its needs" means that the
33 amount appropriated by the general assembly for a purpose is
34 determined by the department, institution, or agency receiving
35 the appropriation to be more than the amount necessary to carry

1 out that purpose. An appropriation for an unspecified dollar
2 amount, whether the appropriation is limited to be sufficient
3 to carry out a particular purpose or is unlimited, shall not
4 be considered an appropriation in excess of a department's,
5 institution's, or agency's needs.

6 b. "Entitlement appropriation" means a line item
7 appropriation to the state public defender for indigent defense
8 or to the department of health and human services for foster
9 care, state supplementary assistance, medical assistance, or
10 for the family investment program.

11 4. a. Prior to any transfer of ~~funds~~ moneys pursuant
12 to subsection 1 or 2 of this section, or a transfer of an
13 allocation from a subunit of a department which statutorily has
14 independent budgeting authority, the director of the department
15 of management shall notify the chairpersons of the standing
16 committees on appropriations of the senate and the house of
17 representatives and the chairpersons of subcommittees of such
18 committees of the proposed transfer. The notice from the
19 director shall include information concerning the amount of the
20 proposed transfer, the departments, institutions, or agencies
21 affected by the proposed transfer, and the reasons for the
22 proposed transfer. ~~Chairpersons~~

23 b. Unless a transfer is governed under paragraph "c",
24 chairpersons notified shall be given at least two weeks to
25 review and comment on the proposed transfer before the transfer
26 ~~of funds~~ is made.

27 c. (1) This paragraph applies to any transfer made for a
28 fiscal year under subsection 2 between July 1 of that fiscal
29 year and the subsequent first day of the regular session of the
30 general assembly occurring in that fiscal year.

31 (2) The director shall submit the notice required by this
32 subsection to the chairpersons at least three weeks before the
33 proposed transfer is made.

34 (3) In addition to the information otherwise required, the
35 notice required by this subsection and submitted under this

1 paragraph must also include all of the following:

2 (a) Information demonstrating that the appropriation from
3 which the transfer will be made is in excess of the entity's
4 needs taking into account the date on which the transfer will
5 occur within the fiscal year, and the reason the excess was not
6 anticipated.

7 (b) Information demonstrating that the appropriation to
8 which the transfer will be made is insufficient to properly
9 meet the legitimate expenses of the entity taking into account
10 the date on which the transfer will occur within the fiscal
11 year, and the reason the deficiency was not anticipated.

12 (c) Information demonstrating that sufficient state moneys
13 are available in the single funding source involved in the
14 transfer, and citations to the law under which all entities
15 affected by the transfer were appropriated moneys from that
16 funding source for the applicable fiscal year.

17 (4) Prior to the date the proposed transfer will be made,
18 the legislative council may meet to consider the transfer. At
19 the meeting, the legislative council may vote to disapprove the
20 transfer. If the legislative council disapproves the transfer,
21 the transfer shall not occur.>

22 2. By renumbering as necessary.

BERGAN of Winneshiek